Rings as Reserve Assets: A Portfolio Theory of Power

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Treat the Rings of Power as what they were: high-yield instruments issued by a single counterparty, and the Third Age becomes a case study in reserve management. I declare an interest — I held one of the assets in question for three thousand years — but long custody is, in this field, a qualification.

1 Three portfolios

The Nine were leveraged immediately and fully. Their holders drew maximum yield — dominion, longevity — and the leverage converted them, over a few centuries, into wholly-owned subsidiaries of the issuer. Total loss, with the holders themselves becoming liabilities on someone else's balance sheet.

The Seven were held by parties whose native risk appetite ran to accumulation rather than dominion. The issuer recovered some and destroyed others, but note: the dwarven habit of *hoarding without exercising* limited the contagion. There are worse instincts in a crisis, as the Erebor case[1] shows from the other direction — there, the hoard itself was the crisis.

The Three were never touched by the issuer, but their value was *derivative* — contingent on the One. We held them unused whenever prudence demanded, which was most of the time. An asset you cannot safely deploy is not a reserve; it is an exposure with good publicity.

2 The systemically important asset

The One Ring was, in modern language, too connected to fail safely and too dangerous to hold. Every party that proposed to *use* it against its issuer — and the proposal was made in my own house, at a conference we still discuss[2] — was proposing to become the counterparty they feared. The only stable resolution was to remove the asset from circulation entirely.

Compare the information network built by the same issuer, analysed by Gandalf[3]: identical structure, softer instrument. Concentrated issuance, dispersed holders, and every channel of value flowing back to one balance sheet. When a single counterparty stands behind your yield, your reserves are their leverage.

3 Doctrine

Hold nothing whose issuer outlives you, wants you, and can wait. This rules out more portfolios than the profession likes to admit — including, for the record, certain estates held

[1] ../dragon-hoards-monetary-policy/index.qmd
[2] ../../announcements/events/council-of-elrond-3025.qmd
[3] ../palantir-networks/index.qmd

by the deceased[4], where the counterparty problem takes its purest form.

[4] ../barrow-wight-estates/index.qmd